the acids that make DAP), and about 86 per cent of the LNG feeding its fertiliser plants originate in the region. However, the Gulf is not the only vulnerability for India. Its fertiliser supply chain traverse other geopolitical fault lines, including the Russia–Ukraine corridor and China, leaving it exposed to sudden and unpredictable supply shocks.

To avert a fertiliser shortage, India bought fast and wide after the Iran war broke out, and for one expensive month, at any price. So, on the ground, the sowing season remains secure and farmers face no shortage. The price at the village counter has not moved a rupee: a 45-kg bag of urea still costs Rs 242, the state absorbing over 90 per cent of its true cost of Rs 2,420. That gap moved to the budget and saw FY26 close with a massive fertiliser subsidy of

**TO REDUCE OVERDEPENDENCE ON THE GULF AND CHINA FOR FERTILISERS, NEW DELHI IS NOW TAPPING SUPPLIERS SUCH AS RUSSIA, MOROCCO, AUSTRALIA, INDONESIA, MALAYSIA ET AL**

Rs 1.86 lakh crore. However, provisional data from the Controller General of Accounts shows the actual amount spent was Rs 2.11 lakh crore. The FY27 Budget pencilled in Rs 1.71 lakh crore before anyone knew the strait would stay shut. The fertiliser department has asked for that to be doubled; a senior official said the bill could cross $32 billion (Rs 3.04 lakh crore) if the war didn't ease.

## Breaking the Urea Addiction

The Modi government's fertiliser strategy rests on three pillars: produce more at home, secure supplies abroad and reduce wasteful use on farms. The biggest push has been in urea, India's most-used fertiliser. The government says domestic urea output touched a record 31 MT in 2023-24, aided by 7.6 MT of new capacity from six plants over six years. But self-reliance is not just about a bare factory output count. Natural gas accounts for nearly 90 per cent of urea's production cost, and only about 26 per cent of the gas used is domestically procured. That is why modernising old plants, securing cheaper gas and exploring coal-gasification-based urea, including at the dormant Talcher plant, have become central to the import reduction plan.

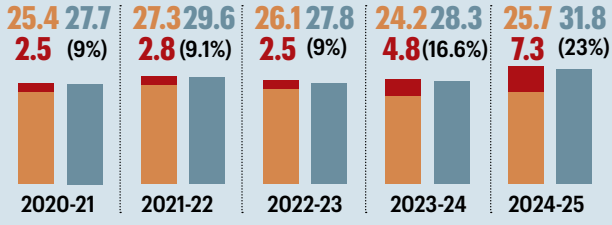
The second track is supply security. India is trying to diversify away from overdependence on the Gulf and China. In March 2026, a senior fertiliser ministry official said the Gulf had earlier accounted for 20-30 per cent of India's urea imports and around 30 per cent of DAP imports. New Delhi is now tapping suppliers such as Russia,




PRODUCTION VS IMPORTS

### A GROWING DEPENDENCE

**Demand has steadily outpaced domestic production, pushing import reliance**



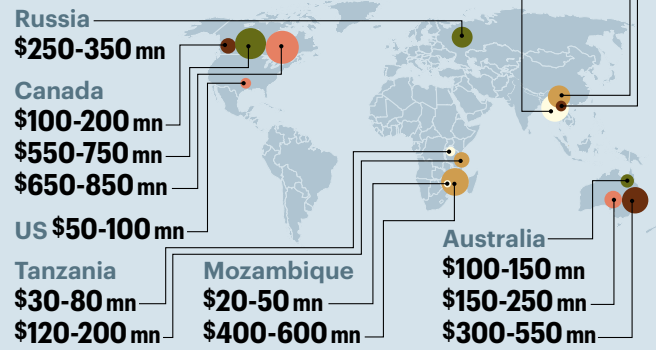

Domestic production | Imports | Estimated demand/ availability (volume in MT); import share of demand in ( )

*Source: GoI*

IMPORT SOURCES

### GLOBAL HARVEST

Chana | Tur/ arhar | Moong | Urad | Masoor | Other pulses




*Source: Ministry of Commerce & Industry, HS-code wise import data compiled from Customs records (2024-25), figures are indicative*